

11.4 BEAR CALL SPREAD STRATEGY



Explainer Video

Bear call spread is exactly opposite to bull call spread. This strategy is used when we are bearish on the underlying asset. Bear Call Spread gives us limited profits and limited loss opportunity. Also, we receive Net Spread here instead of paying.

STEPS TO FORM A BEAR CALL SPREAD STRATEGY

BUY

We buy a call option at a strike price that would be higher than the call option that we would be selling. This is required to convert unlimited loss potential of Selling option to limited loss potential.

SELL

We will sell an option with a strike price that is higher than the current market price. We do not want the market price on expiry to be higher than this strike price as it will lead to losses.



MAXIMUM LOSS = DIFFERENCE IN STRIKE PRICE OF TWO OPTIONS - NET PREMIUM RECEIVED.

BREAKEVEN POINT = LOWER STRIKE + NET PREMIUM

MAXIMUM PROFIT = NET PREMIUM